

Modern Road Makers Private Limited
Notes to Financial Statements for the year ended March 31, 2024

- (e) Revenue recognition for future related to performance obligations that are unsatisfied (or partially satisfied) :
The Company applies the practical expedient in paragraph 121 of Ind AS 115 and does not disclose information about remaining performance obligations where the Company has a right to consideration from customer in an amount that corresponds directly with the value to the customer of the Company's performance completed to date. Accordingly, the Company recognises revenue by an amount to which the Company has a right to invoice.
- (f) Practical expedients:
Applying the practical expedient in paragraph 63 of Ind AS 115, the Company does not adjust the promised amount of consideration for the effects of a significant financing component if at contract inception it is expected that the period between when the entity transfers a promised good or service to a customer and when the customer pays for that good or service will be one period or less.
- The Company applies practical expedient in paragraph 121 of Ind AS 115 and does not disclose information about remaining performance obligations for EPC contracts that have original expected duration of one period or less.

Note 43 : Donation

During the current period, donation given of Rs.358.62 million (March 31, 2023: Rs. 286.60 million) which included donation to political party amounting to Rs. 350.00 million (March 31, 2023 : Rs. 265.00 million).

Note 44: Disclosure on Ind-As 116 Leases

Effective April 1, 2019, the Group has adopted Ind AS 116 'Leases', applied to all leases contracts existing on April 1, 2019 using the modified retrospective method along with the transition option to recognise Right-To-Use asset (ROU) at an amount equal to the lease liability.

In Statement of profit and loss for the current period, the nature of expenses in respect of operating leases has changed from lease rent in previous periods to depreciation cost for the right-to-use asset and finance costs for interest accrued on lease liability.

The effect of depreciation and interest related to Right Of Use Asset and Lease Liability are reflected in the Statement of Profit and Loss under the heading "Depreciation and Amortisation Expense" and "Finance costs" respectively under Note No 4 and 27.

Following are the changes in the carrying value of right of use assets for the period ended March 31, 2024 and March 31, 2023:

(Rs. in million)		
Particulars	March 31, 2024	March 31, 2023
Balance as on April 1	76.12	115.83
Additions	-	-
Deletion	-	-
Depreciation adjustment	(39.80)	(39.71)
Closing Balance period ended	36.32	76.12

The following is the break-up of current and non-current lease liabilities as of March 31, 2024 and March 31, 2023:

(Rs. in million)				
	March 31, 2024		March 31, 2023	
	Current	Non-current	Current	Non-current
Lease Liabilities	43.88	-	39.58	45.49
Total	43.88	-	39.58	45.49

The following is the movement in lease liabilities for the period ended March 31, 2024

(Rs. in million)		
Particulars	March 31, 2024	March 31, 2023
Opening balance	85.07	119.98
Additions during the period	-	-
Interest charged	6.64	10.62
Payments made	(47.83)	(45.53)
Closing balance	43.88	85.07

Note 45 : Material accounting judgement, estimates and assumptions

The preparation of the Company's financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenue, expenses, assets and liabilities, and the accompanying disclosures, and the disclosure of contingent liabilities. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods.

Estimates and assumptions

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and future periods are affected.

The Company based its assumptions and estimates on parameters available when the financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising that are beyond the control of the Company. Such changes are reflected in the assumptions when they occur.

Taxes

There are many transactions and calculations undertaken during the ordinary course of business for which the ultimate tax determination is uncertain. Where the final tax outcome of these matters is different from the amounts initially recorded, such differences will impact the current and deferred tax provisions in the period in which the tax determination is made. The assessment of probability involves estimation of a number of factors including future taxable income.

Defined benefit plans (gratuity benefits)

A liability in respect of defined benefit plans is recognised in the balance sheet, and is measured as the present value of the defined benefit obligation at the reporting date. The present value of the defined benefit obligation is based on expected future payments at the reporting date, calculated annually by independent actuaries. Consideration is given to expected future salary levels, experience of employee departures and periods of service.

